

Paradiem

The Morning Brief

AUGUST 17, 2026

Day One

Monday opens the Bessent Iran package rollout window as Industrial Production, the retailer earnings sequence, and FOMC minutes stack into the five-session run toward Jackson Hole.

S&P 500 (FRI CLOSE)	WTI (USO FRI CLOSE)	TLT (FRI CLOSE)	BITCOIN (LIVE SUN)	FEAR & GREED (CNN FRI)
\$776.34 · ↑0.4% wk	\$126.60 · ↑7.3% wk	\$82.04 · ↓0.67% Fri	~\$63,000 · ↓2.7% wk	65 · Greed

SECTION 01

Markets — Monday Opens a Five-Session Catalyst Stack With a Rate-Off Bid Underneath

SMALL-CAP OUTPERFORMANCE FRAMES MONDAY AS RATE-OFF UNWIND, NOT DE-RISKING

The Monday cash session opens against a Friday tape that separated the growth signal from the risk signal: per data drop, S&P (SPY) closed ↓0.20% at \$776.34, Nasdaq (QQQ) closed ↓0.14% at \$731.07, and Dow (DIA) closed ↓0.21% at \$536.80, but Russell 2000 closed ↑0.52% at \$305.09 and the UVXY volatility proxy closed ↓2.05% at \$20.10. Small caps carry the highest sensitivity to front-end rate expectations, and per CME FedWatch coverage cited by CNBC and Yahoo Finance, September rate-hike odds compressed from roughly 44% early last week to roughly 30% by Friday close after the July retail-sales miss and University of Michigan sentiment collapse per Census Bureau and University of Michigan release coverage. The composition — small caps up, vol down, mega-cap growth softer — reads as a rate-hike-off unwind rather than a broad de-risking event, and it sets the Monday open in a two-way rather than a defensive posture. For the FCI dividend sleeve, the higher-duration positioning through NEE, ATO, and CEG remains constructive into a tape that continues to price sticky one-year inflation expectations at 4.3% preliminary August per University of Michigan detail against a softer growth read.

RUSSELL 2K (FRI)	\$305.09 · ↑0.52% Fri
UVXY (VIX PROXY FRI)	\$20.10 · ↓2.05% Fri
SEPT RATE-HIKE ODDS	~30% · From ~44% early wk
INDUSTRIAL PRODUCTION	Tue Aug 18 · 9:15 AM ET per FRB
FOMC MINUTES	Wed Aug 19 · 2:00 PM ET
BITCOIN (LIVE SUN)	~\$63,000 · De-correlation deepens

SECTOR ROTATION READ SETS UP THE TUESDAY-THROUGH-THURSDAY CONSUMER SEQUENCE

The Friday sector tape reinforces the composition: per data drop, XLE led at ↑1.39%, followed by XLU at ↑0.61% and XLB at ↑0.44%; XLV lagged at ↓0.60% and XLK at ↓0.40%. The rotation — energy and defensive-yield up, tech and healthcare down — is consistent with a session that absorbed a growth-miss signal alongside a compressed rate-hike expectation. The Tuesday-through-Thursday consumer sequence is the primary read-through: per company IR calendars cited by Kiplinger and Yahoo Finance coverage, Home Depot reports Tuesday August 18 before the open with consensus roughly \$4.71 EPS on \$47.5B revenue, Target and Lowe’s report Wednesday August 19, and Walmart

reports Thursday August 20. Per FRB G.17 release schedule, July Industrial Production and Capacity Utilization publish Tuesday August 18 at 9:15 AM ET; per FOMC calendar, the July 28–29 meeting minutes publish Wednesday August 19 at 2:00 PM ET. FCI has no direct exposure to the four retailers,

but the discretionary-adjacent dividend sleeve carries the read — FAST closed ↓0.62% at \$51.02 Friday, GPC closed ↓0.24% at \$135.03, and PCAR closed essentially flat at \$130.79 per data drop.

Monday is not a directional trade; it is Day 1 of a sequenced catalyst run that resolves piece by piece.
Simplicity Over Complexity.

SECTION 02

Geopolitics — Bessent Rollout Window Opens as Iran-Oman Corridor Framework Nears But Reopening Stays Conditional

DAY 1 OF THE ISOLATION-PACKAGE ROLLOUT WINDOW; SECONDARY-SANCTION PERIMETER IS THE READ

Per Washington Times, Bloomberg, and Rigzone coverage of Secretary Bessent's Friday August 14 statement, the Treasury package described as unprecedented in scope for the economic isolation of a state actor is expected to be unveiled in detail during the trading week that opens today — Monday August 17 through Friday August 21. The operative variable, per Bloomberg and Yahoo Finance previews and per commentary flagged in prior briefs, is not the aggregate sanction count — Iran is already subject to thousands — but the secondary-sanction perimeter around Chinese refiner term-flow exposure and the marine-insurance and reinsurance channels that gate remaining barrels. If the detail tightens the secondary perimeter, the physical-friction floor under the crude complex tends to firm and the enforcement-posture bid under the defense sleeve tends to extend; if the detail reads primarily as a diplomatic signal, the risk premium may compress. Per data drop, LMT closed ↑1.78% at \$608.68 Friday and GD closed ↑0.72% at \$395.78 — the defense-sleeve positioning that will absorb the first detail read. Per data drop, CVX closed ↑1.16% at \$200.00, CNX ↑0.96% at \$35.72, and OKE ↑2.54% at \$94.99 — the FCI energy expression that carries the physical-friction floor.

IRAN-OMAN FRAMEWORK REPORTEDLY CLOSE, BUT REOPENING REMAINS CONDITIONAL ON US CONCESSIONS

Per Al Jazeera, CBS News, and CNN coverage of Oman Foreign Ministry statements carried through the weekend, Tehran and Muscat are reportedly close to a framework agreement on managing Strait of Hormuz traffic that would cover inbound and outbound shipping routes, security and sovereignty arrangements, and a proposed joint coordination center. Per Al Jazeera coverage of Iranian statements, however, the framework itself would not automatically reopen the waterway; Tehran has restated preconditions including lifting the US naval blockade, US force withdrawal from the region, and a permanent end to the conflict. Per Kpler data cited by CNN in prior coverage, Hormuz throughput has held near a fraction of the roughly 130 daily transits recorded before the conflict. The read for FCI is that the negotiating envelope has

narrowed to specific technical terms even as the political preconditions have not moved — a configuration that supports the physical-friction floor rather than compressing it. Per data drop, USO closed ↑1.26% at \$126.60 Friday and BNO closed ↑1.81% at \$50.64.

UKRAINE REFINERY CAMPAIGN EXTENDS OVERNIGHT AUGUST 15; CNN STOCK F&G COMPOSITION READ HOLDS

Per Kyiv Independent, Yahoo News, and PBS News coverage of the most recent confirmed strikes, Ukrainian long-range drones hit the Syzran refinery in Russia's Samara Oblast overnight August 15 — roughly 500 miles from the Ukrainian border — extending the campaign that has affected a material share of Russia's major refining capacity over the prior two weeks per Kyiv Post and RBC-Ukraine coverage carried in prior briefs. Per Wikipedia coverage of the 2025–

2026 Russian fuel crisis compiled from RIA and Reuters sourcing, Russian domestic gasoline and diesel availability has continued to tighten as the campaign has accelerated. The vector operates independently of Hormuz on the crude side but compounds on the refined-product spread — and pairs with Middle East-to-China VLCC rates near the \$500,000/day level per Bloomberg coverage cited last week. Per CNN

coverage carried into the weekend, the CNN stock-market Fear & Greed Index held near 65 “Greed” through Friday; the Monday data drop shows the crypto Fear & Greed at 31 “Fear” — the standing composition split between the CNN stock index the brief tracks and the crypto index that has appeared when the CNN endpoint fell back.

SECTION 03

On Our Radar

1. Week Ahead — IP Tuesday, HD Tuesday, TGT/LOW Wednesday, FOMC Minutes Wednesday, WMT Thursday, NVDA Aug 26, Jackson Hole Aug 27–29. Per Federal Reserve G.17 release schedule, July Industrial Production and Capacity Utilization publish Tuesday August 18 at 9:15 AM ET — the first hard-data checkpoint of the week. Per company IR calendars cited by Kiplinger and Yahoo Finance, Home Depot reports pre-open Tuesday August 18 with consensus roughly \$4.71 EPS on \$47.5B revenue, Target and Lowe’s report Wednesday August 19, and Walmart reports Thursday August 20. Per FOMC calendar, the July 28–29 meeting minutes publish Wednesday August 19 at 2:00 PM ET — the record of the hold and Chair Warsh’s reaction-function framing. Per Kansas City Fed coverage, the Jackson Hole Economic Policy Symposium runs Thursday–Saturday August 27–29 with Chair Warsh’s keynote Friday morning August 28 on the theme “Financial Innovation: Implications for Payments and Policy.” Per Regards of Wallstreet coverage citing Warsh’s July press-conference framing, the speech is expected to step back from near-sighted debates. NVDA reports fiscal Q2 Wednesday August 26.

2. Bessent Iran Isolation Package: Day 1 of the Rollout Window; Chinese Refiner Perimeter Is the Read.

Per Bloomberg, Rigzone, and Washington Times coverage of the Friday Treasury statement, the isolation package is expected to be unveiled in detail this trading week (August 17–21). Per Bloomberg and Yahoo Finance previews and per commentary carried in prior briefs, the operative variable is the secondary-sanction perimeter around Chinese refiner term-flow exposure and the marine-insurance and reinsurance channels — not the aggregate sanction count. A tightening of the secondary perimeter tends to firm the physical-friction floor under the crude complex; a package that reads primarily as a diplomatic signal tends to compress the risk premium. Per data drop, the FCI energy and defense expressions (CVX ↑1.16%, CNX ↑0.96%, OKE ↑2.54%, LMT ↑1.78%, GD ↑0.72% Friday) carry the enforcement-posture positioning into the Day 1 rollout window.

3. Iran-Oman Corridor Framework Reportedly Close; Reopening Preconditions Have Not Moved.

Per Al Jazeera, CBS News, and CNN coverage of Oman FM statements through the weekend, Tehran and Muscat are near a technical framework covering routes, security arrangements, and a joint coordination center. Per Al Jazeera coverage of Iranian statements, the framework would not automatically reopen the strait; Tehran's preconditions (naval blockade lifted, US force withdrawal, permanent end to the conflict) have not moved. The configuration — narrowing technical terms alongside unmoved political preconditions — supports rather than compresses the physical-friction floor. For FCI, the read pairs with the Bessent Day 1 rollout to define whether the crude bid extends structurally or trades primarily on headline pulses this week.

4. Bitcoin ↓2.7% on the Week Deepens De-Correlation From Friday's Rate-Off Bid.

Per Sunday Guardian and CoinStats coverage of the weekend tape, Bitcoin held near \$63,000 through Sunday, extending a roughly –2.7% weekly move against a broader risk tape that priced compressed rate-hike odds constructively. Weekend trading lacks ETF creation-redemption flow; per Sunday Guardian coverage, subdued volatility and renewed US spot-ETF outflows have kept demand cautious. Per data drop Friday close, IBIT closed ↓0.70% at \$35.63 and ETHA closed ↓0.35% at \$14.18 — the digital-asset sleeve did not participate in the small-cap and metals-complex bid Friday. The de-correlation is the operative FCI positioning read through IBIT and ETHA into Monday's ETF re-open. Per SEC and CryptoDaily coverage carried in prior briefs, the SEC's August 14 open meeting on a proposed tailored offering regime for crypto asset investment contracts was pulled and the proposal remains queued.

5. Carson's SPY \$645.80 Support Remains Active; No Levels Hit Friday.

Per levels.json, Carson's active SPY support at \$645.80 remained untouched through Friday's \$775.43–\$778.80 SPY intraday range per data drop and now sits approximately 16.8% below the current tape. No active resistance levels are on the book following the April 14 breakout of the \$691.90–\$693.20 major zone. With the Day 1 Bessent rollout window opening today, Industrial Production Tuesday, retailer earnings Tuesday–Thursday, FOMC minutes Wednesday, NVDA Wednesday August 26, and Jackson Hole Aug 27–29, the pre-committed FCI deployment discipline (70% of reserves at –25% drawdown, remaining 30% at –40%) continues to frame reactive positioning against any single-session gap through the sequence.

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